HEDGE FUNDS EXPLAINED:
A COMPREHENSIVE GUIDE FOR INVESTORS

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Executive Summary

Part 1- Introduction to Hedge Funds

Why Hedge Funds Matter

Traditional investing—a simple mix of stocks and bonds—no longer cuts it in today's complex markets. Hedge funds represent a fundamentally different approach to compounding capital, one grounded in active skill, strategic flexibility, and genuine downside protection. Hedge funds might not be for everyone, but for investors seeking meaningful diversification and resilient returns, they're increasingly essential.

What Makes Hedge Funds Different

Hedge funds have access to strategic tools that traditional managers often cannot use as flexibly, including long and short positions, tactical hedging, derivatives, and dynamic portfolio adjustments. Managers also frequently invest their own capital alongside clients, creating stronger alignment of interests. This combination of flexibility, active risk management, and aligned incentives allows hedge funds to pursue absolute returns across different market conditions, seeking opportunities in both rising and falling markets while managing downside risk.

What You Get When Investing in Hedge Funds

Enhanced returns without proportional risk increases. Genuine diversification beyond stocks and bonds. Downside protection during market stress. Low correlation to traditional assets—capturing upside in good times while defending in bad times. Access to specialized market expertise and niche opportunities unavailable to long-only investors. Fee alignment where managers earn only when they deliver results.

Hedge Fund Myths Dispelled

The myths about hedge funds have persisted for years—that they're unregulated, exploitative, or ethically questionable. The reality is different. Hedge fund managers operate within a robust regulatory framework. Their strategies actually make markets more efficient, benefiting all participants. And the fee structure, when coupled with manager co-investment, creates one of the most authentic partnerships between advisor and investor in finance.

Executive Summary

Part 2: The Benefits of Multi-Manager Hedge Fund Portfolios

The Multi-Manager Advantage

- A diversified basket of hedge fund strategies outperforms single-manager allocations. By combining directional strategies, event-driven approaches, and relative value specialists, multi-manager portfolios reduce idiosyncratic manager risk while accessing multiple uncorrelated sources of alpha.

Full Risk Spectrum Available

- Defensive/Diversifying Strategies provide steady growth through active risk management and low correlation to traditional assets—your portfolio's stabilizer.
- Absolute/Stable Return strategies target consistent, risk-adjusted performance with strong capital preservation—your core holding.
- Aggressive/High Return strategies pursue enhanced performance through opportunistic positioning—your growth engine.

Next Steps: Launching a HF Portfolio

- Building a resilient portfolio requires discipline, diversification, and access to skilled managers across multiple strategies.
- It requires ongoing due diligence, thoughtful manager selection, and strategic oversight.
- It's more complex than a simple stock and bond index allocation—but the portfolio benefits for an overall strategic asset allocation can be impactful: smoother returns, better downside capture, and the confidence that comes from genuine diversification.

This guide provides the roadmap. What comes next is the execution—and the capital compounding that follows.

Part 1 – Introduction to Hedge Funds



Definition, Objectives & Styles

- Definition of hedge funds, their objectives, and major investment styles



Core Features

- Strategic flexibility, manager alignment, and variable risk characteristics
- Access to diverse strategies and investment opportunities



Fees & Liquidity

- Management and incentive fees, including high-water mark provisions
- Liquidity ranges from daily to quarterly redemptions



Benefits

- Portfolio diversification, risk management, and improved return and risk profiles



Challenges

- Key risks and challenges involved in hedge fund investing, including leverage, illiquidity, manager risk, complexity, transparency limitations, and potential losses

INTRODUCTION TO HEDGE FUNDS

Definition:

+ A hedge fund is a privately managed investment vehicle that seeks to generate absolute returns independent of broader market performance by employing skill-based strategies that target specific, often underexploited market opportunities.

+ Hedge funds actively seek to generate positive returns across varying market conditions by identifying and capitalizing on market inefficiencies, valuation discrepancies, and compensated risk premia across different markets, sectors, and regions—thereby reducing reliance on traditional market directionality.

Major Hedge Fund Investment Styles

Fundamental	Uses company financials and valuation metrics to find mispriced securities.
Macro	Manages cross-asset exposures based on global economic developments.
Event Driven	Profits from corporate events like M&A, restructurings, or bankruptcies.
Quant	Uses models and data-driven signals to systematically manage a portfolio.
Relative Value/Arbitrage	Exploits pricing gaps between related securities, positioning for convergence.

Core Features

Strategic Flexibility

Hedge funds employ a broad range of investment techniques unavailable to traditional managers, including long and short positions, leverage, derivatives, and alternative asset classes. This flexibility allows them to pursue both directional and non-directional strategies tailored to specific market opportunities.

Manager Alignment

Unlike traditional bond and equity long-only asset managers, hedge fund managers typically invest significant personal capital alongside investors, creating genuine alignment of interests.

Risk Characteristics

Return and risk profiles vary dramatically depending on hedge fund sub-strategy, ranging from conservative, near-bondlike returns to highly aggressive, volatile strategies. There is no single “hedge fund” risk profile.

The Case for Investing in Hedge Funds

Hedge funds help diversify portfolios and manage risk, while accounting for both right-tail (upside) and left-tail (downside) market outcomes that complement traditional 60/40 investing.

- **Create Targeted Investments**
- **Reduce Risk and Volatility**
- **Increase Returns**
- **Skilled Active Management**
- **Source of Information**

The Portfolio Benefits of Hedge Funds



- **Enhanced Return/Risk Profile:** Hedge funds are actively managed portfolios that seek to generate absolute returns and enhance diversification beyond traditional long-only stock and bond investments. Their higher fees reflect the intensive research, portfolio management, and risk management required to execute specialized investment strategies.

- **Accessing niche opportunities:** Sector and regional specialists exploit an informational edge to regularly outperform similar long-only products.

- **Liquidity:** Hedge funds are the most liquid "alternative asset class" because they trade mostly exchange-listed securities, which enables the ability to constantly enter and exit positions. Hedge fund liquidity terms typically match the liquidity of the underlying instruments in their portfolio, with most funds in our coverage universe allowing investors to redeem capital within one quarter or less.

- **Capital Preservation:** Hedge funds' ability to increase or decrease risk-taking exposures, plus their focus on shorting securities, sets them apart from traditional long-only stock and bond investments.

- **Information flow:** Fundamental and market technical insights from hedge fund analysts can be applied across an investor's entire portfolio.

Fees and Liquidity

Fees

- **Management Fees:** Charged to cover the operational, administrative, and regulatory costs of running a hedge fund.
- **Incentive Fees:** Performance-based fees that are charged only when the fund generates investment gains.
- **High Watermark Provision (HWM):** Ensures that incentive fees are earned only on new profits above the fund's highest previous net asset value (NAV).
- **Investor Protection of HWM:** Prevents managers from charging performance fees multiple times on the same gains after periods of losses.

Liquidity

- **Liquidity Varies by Fund**: Redemption terms depend on the fund's structure and investment strategy.
- **UCITS Hedge Funds:** Typically offer daily liquidity, allowing investors to redeem shares frequently.
- **Traditional Hedge Funds:** Generally provide monthly or quarterly redemption opportunities.
- **Strategy Considerations:** Liquid strategies can support more frequent redemptions, while less liquid or specialized strategies often require longer redemption periods.
- **Investor Protection:** Liquidity restrictions help prevent forced asset sales and protect the interests of remaining investors.

Sources of Hedge Fund Outperformance

Taking Advantage of Market Inefficiencies

Skilled managers can systematically capture pricing discrepancies and market mispricings that traditional managers cannot or will not pursue.

Behavioral Edge

Hedge fund managers can exploit behavioral market inefficiencies driven by investor psychology, fear, and greed. Systematic strategies capitalize on predictable trading patterns, sentiment extremes, and emotional decision-making that create mispricings unavailable to purely fundamental or technical approaches.

Return Generation Independent of Market Direction

Absolute return instead of relative return performance benchmark.

Manager Skill & Expertise

Hedge fund managers typically possess specialized expertise in niche markets or strategies that create genuine competitive advantages.

Beyond Alpha: Longevity, Fee Alignment, and Smarter Diversification

Long-Term Wealth Accumulation

The combination of absolute return focus, skilled active management, and diversification benefits can meaningfully compound wealth over decades.

Enhanced Fee Alignment

Managers earn materially only when they deliver returns above their management fees—a direct performance linkage absent in traditional asset management, where fees are largely disconnected from results.

Reduced Herd Behavior

Unlike traditional managers benchmarked against indices, hedge funds are freed from index-hugging constraints.

Diversification Benefits

Hedge fund strategies are designed to provide exposure to lower-correlation return streams versus traditional equities and bonds, enhancing overall portfolio diversification.

Managing Risk with Hedge Funds

Flexible Risk Management

Hedge funds can employ dynamic hedging and risk mitigation techniques including short positions, put options, and tactical asset allocation adjustments. This flexibility allows managers to actively manage downside risk rather than passively accepting whatever volatility the market provides. Returns can be "smoother" with lower maximum drawdowns than traditional equity strategies.

Tail Risk Protection

Some hedge fund strategies specifically target extreme market events and tail risks. By positioning for market crashes or volatility spikes, certain strategies deliver outsized returns precisely when traditional portfolios suffer greatest losses—genuine insurance against catastrophic scenarios.

Diversification Beyond Traditional Asset Classes

Uncorrelated or low-correlated returns to stocks and bonds.

Inflation & Currency Hedging

As traditional bonds offer limited protection against inflation, specific hedge fund sub-strategies provide genuine portfolio ballast during periods of rising prices or currency devaluation.

HEDGE FUND MYTHS VS REALITY

Hedge Fund Myths vs. Reality

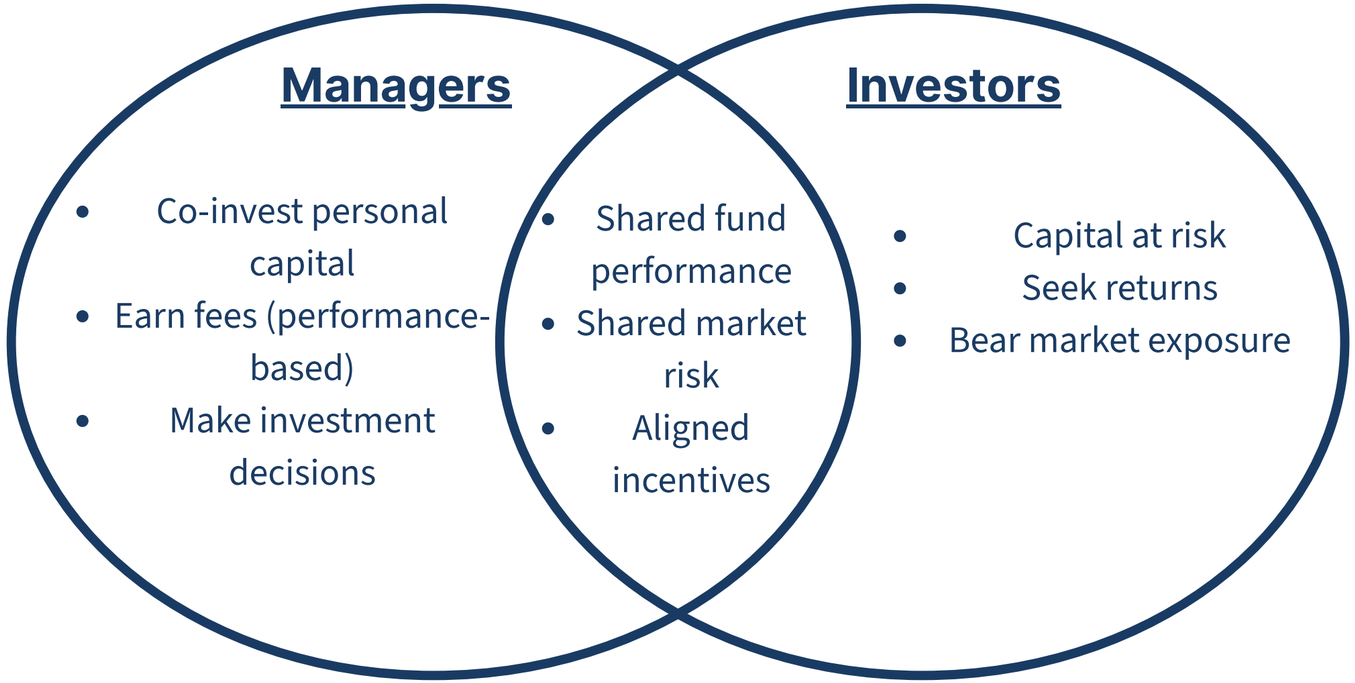
Manager Compensation and Incentives

Prevailing Thought

Only managers earn well from hedge funds, suggesting the arrangement is exploitative or one-sided, intended to take advantage of the end investor.

Reality

Managers typically have their own capital invested in the funds, aligning their interests with investors and creating shared risk exposure.



Hedge Fund Myths vs. Reality

Strategy Ethics and Legitimacy

Prevailing Thought

Hedge fund strategies operate in a "gray area," implying questionable or unethical practices.

Reality

Exploiting market inefficiencies through these strategies actually makes financial markets more efficient overall, creating positive spillover benefits for all market participants.



Hedge Fund Myths vs. Reality

Risk/return profile of Hedge Funds

Prevailing Thought

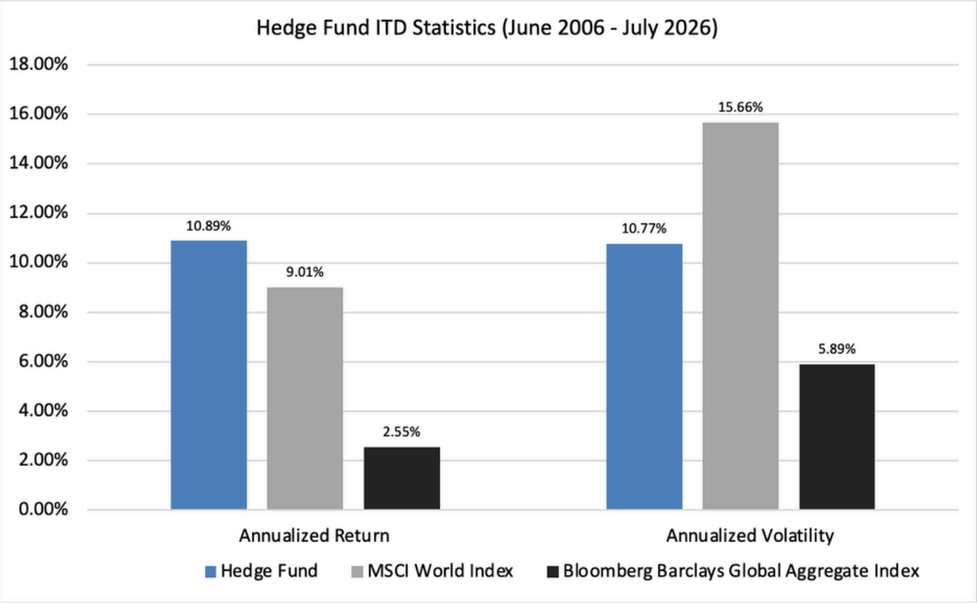
Hedge funds are primarily about generating outsized personal profits for insiders.

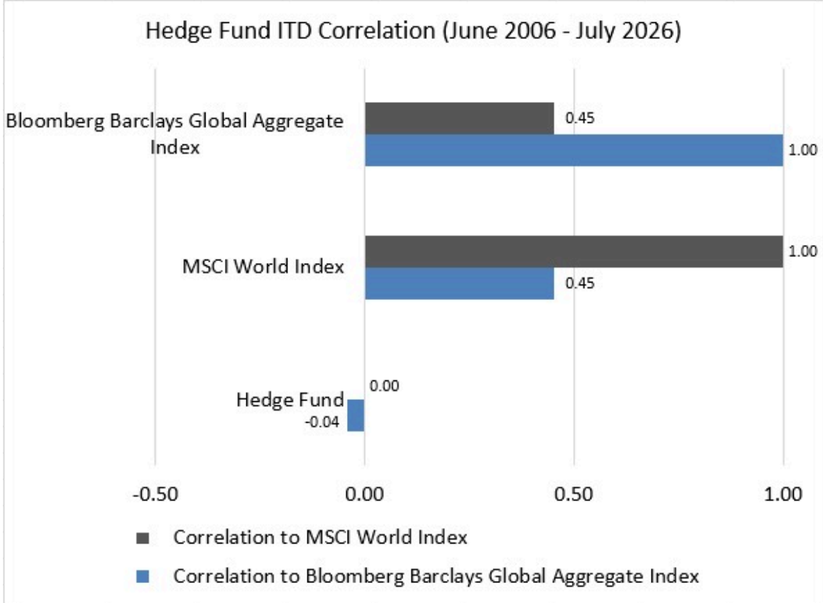
Reality

Hedge funds aim to generate absolute returns independent of market performance, capturing risk premia through skill-based strategies that can provide legitimate portfolio diversification benefits. Oftentimes, hedge fund strategies offer a more favorable and conservative risk/return profile than traditional investments due to the hedged nature of their strategic approach.

Hedge funds are actively managed investments that, as shown here, aim to generate strong returns while taking on more complex strategies and risks than traditional stock and bond indexes.

Here we present the return and risk profile of a hedge fund Masterpiece and its predecessor firm have deployed in client portfolios with since 2012.





Hedge Fund Myths vs. Reality

Regulatory Environment for Hedge Funds

Prevailing Thought

Hedge Funds are unregulated investment entities.

Reality

Hedge funds operate within a robust and highly structured regulatory framework across major financial jurisdictions.

Key US Regulatory Considerations for HFs

- U.S. hedge fund managers above certain AUM thresholds must register with the SEC under the Investment Advisers Act of 1940 and maintain compliance programs led by a Chief Compliance Officer (CCO).
- Registered managers are subject to SEC examinations, Form ADV disclosures, recordkeeping requirements, marketing rules, and anti-fraud provisions.
- Key regulatory filings include Form PF, Form ADV, and large position reports (Forms 13F and 13D/13G).
- These filings provide regulators with insight into leverage, liquidity, counterparty exposure, concentration risk, and systemic risk implications.
- Hedge funds must comply with securities laws covering derivatives, margin and prime brokerage activities, short selling, insider trading, and AML/KYC requirements.

Challenges and Risks for Hedge Fund Investors

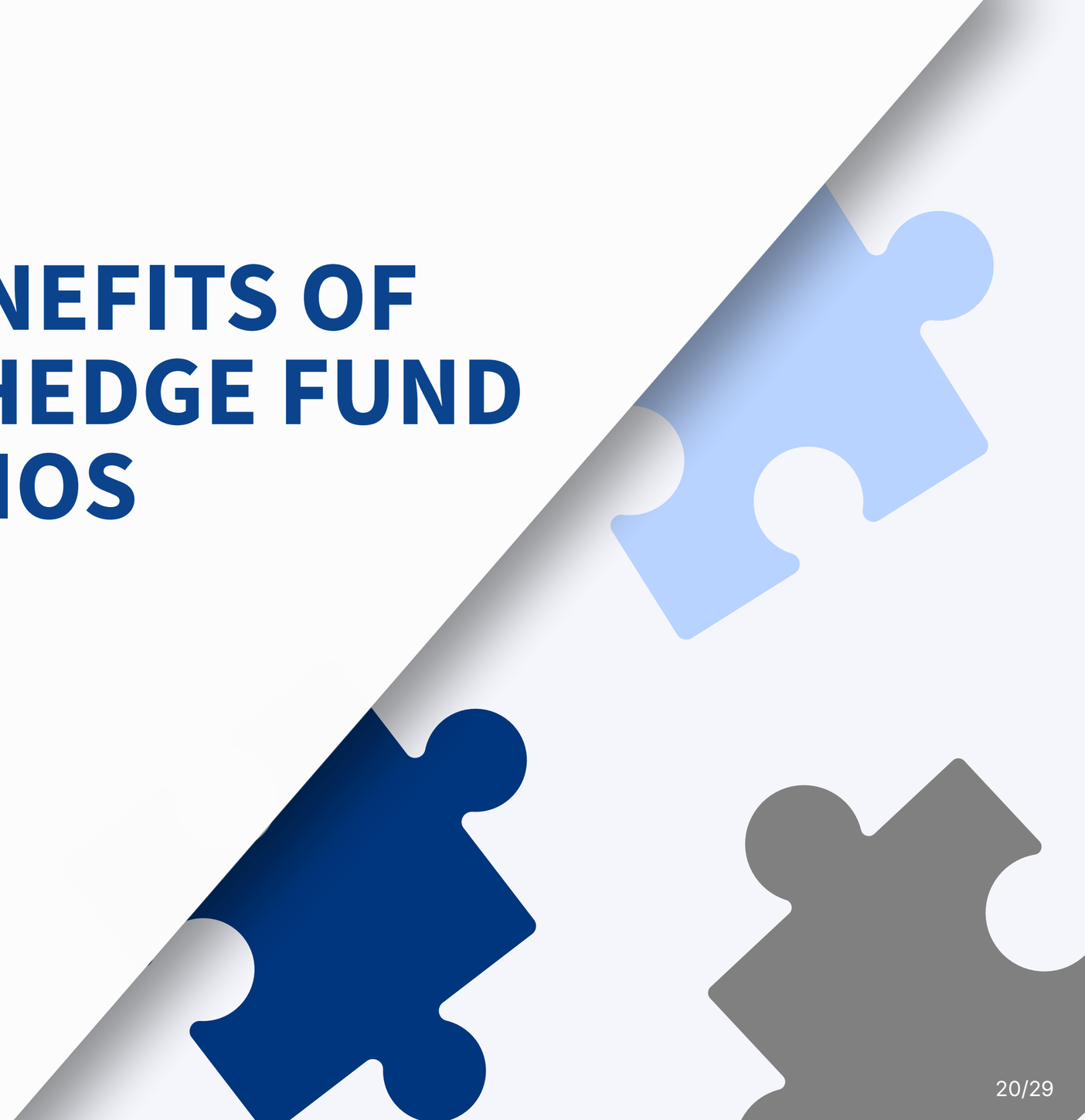
Challenges

- **Evolving market conditions & portfolio** needs require ongoing reassessment of allocations and strategy fit.
- **Time-intensive due diligence** is needed to evaluate fund strategy, operations, governance, and controls.
- **Manager selection complexity** makes it difficult to identify and assess high-quality hedge fund managers.
- **Ongoing oversight requirements** involve continuous monitoring of performance and alignment with investment objectives.

Risks

- **Investment risk** – Fund values may fluctuate due to market, economic, interest rate, or political changes.
- **Market risk** – No guarantee of achieving investment objectives; past performance is not indicative of future results.
- **Manager risk** – Performance depends on manager skill and decision-making; key-person risk may exist.
- **Operational risk** – Risks can arise from internal processes, systems, governance, compliance, and controls.

PART 2: THE BENEFITS OF MULTI-MANAGER HEDGE FUND PORTFOLIOS

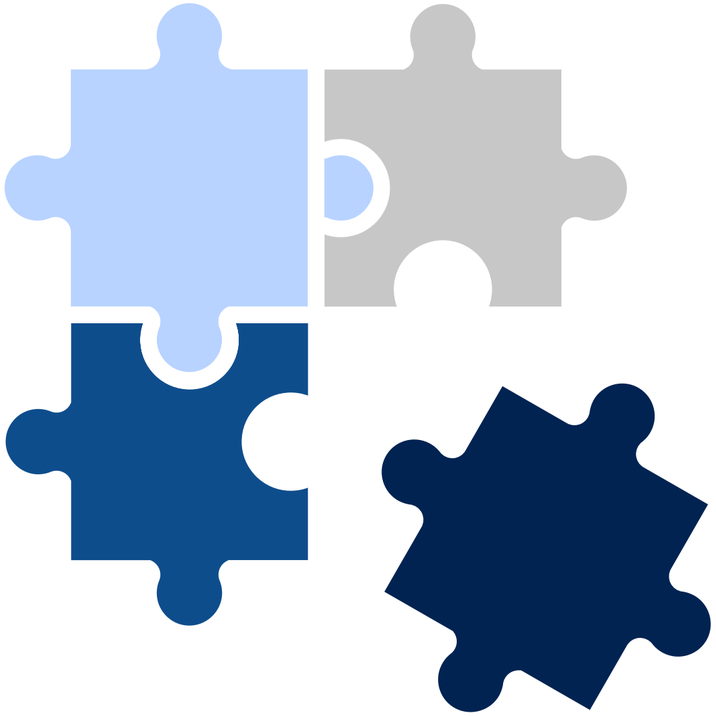


THE BENEFITS OF MULTI-MANAGER HF PORTFOLIOS

Overview:
+Multi-manager hedge fund portfolios combine different investment managers and strategies to create diversified sources of strategic alpha. By spreading exposure across managers, investors can balance risk and return while reducing reliance on any single strategy.

+ Masterpiece's approach

- Build resilient client portfolios by carefully diversifying across distinct investment strategies and managers, minimizing overlap while maintaining flexibility to meet specific portfolio objectives.
- Each component is thoughtfully optimized and weighted to work together cohesively, creating a robust framework that performs through different market conditions.
- Our philosophy balances diversification with discipline—ensuring each portfolio is built to capture opportunities while weathering market volatility.



Each hedge fund is a building block in the ultimate portfolio construction.

The Strategic Alpha of Multi-Manager Hedge Fund Portfolios

Investing in a custom basket of hedge funds is superior to subscribing to hedge funds on a one-off basis

Reduced Manager (Idiosyncratic) Risk: Diversification across managers helps offset poor performance from any single fund.

Smoother Return Profile: Low correlation between managers reduces volatility, improving Sharpe ratio, reducing drawdowns, accelerating recovery, and lowering tail risk.

Strategy Diversification: Exposure to multiple hedge fund strategies enhances performance across different market environments.

Access to Multiple Alpha Sources: Combining managers captures diverse and uncorrelated sources of alpha, improving overall return potential.

The Risk-Return Spectrum

Given the wide variability of individual hedge fund return/risk characteristics, they can be used as building blocks to create specific return streams.

We bucket hedge fund portfolios into 3 different risk categories:



Defensive/ Diversifying Return

Targets steady portfolio growth through active risk management and diversified investment exposures, bridging the gap between defensive and aggressive strategies.



Absolute/Stable Returns

Focuses on generating consistent, risk-adjusted returns with low volatility and strong capital preservation across market environments.



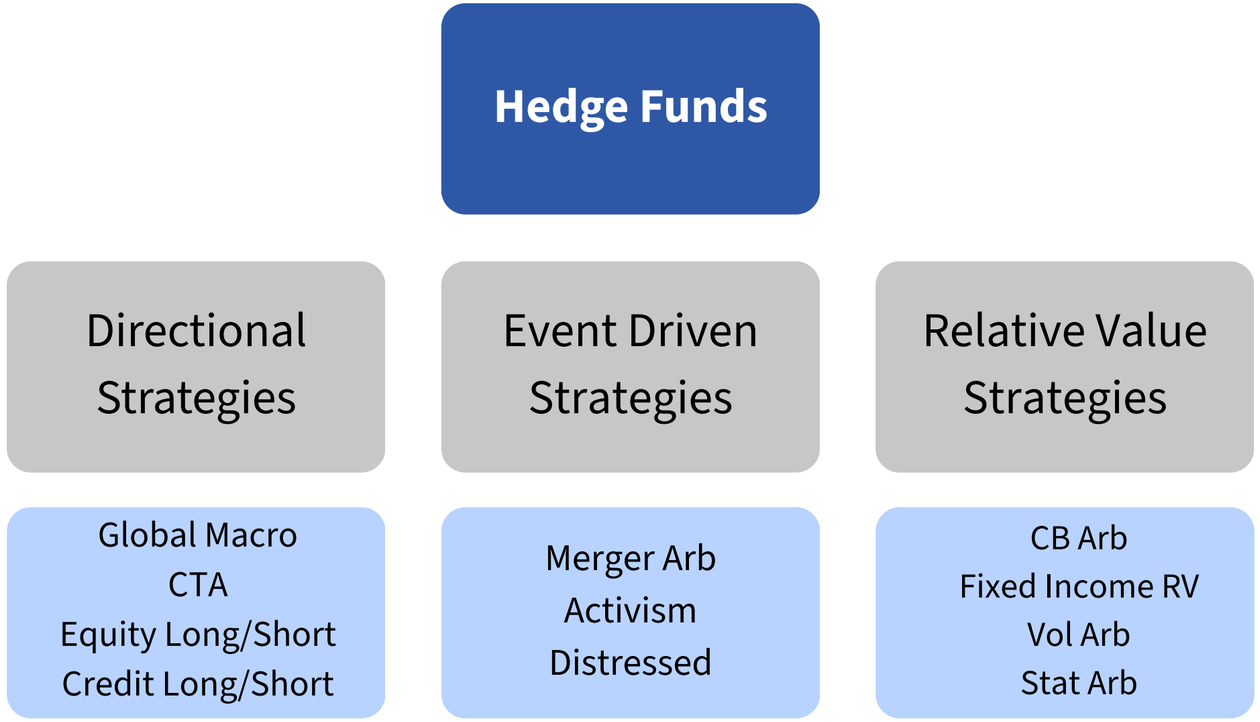
Aggressive High Returns

Targets higher long-term returns through greater risk-taking and opportunistic investment strategies, accepting increased volatility in pursuit of enhanced performance.

A Closer Look at the Different Types of Hedge Fund Investment Strategies

Key Differences of Hedge Fund Sub-Strategies

- **Directional Strategies:** These strategies involve positioning for positive or negative outcomes across asset classes based upon fundamental and technical trade signals. Primary sub-strategies include Global Macro, Systematic trend-following strategies (CTAs), Equity Long/Short.
- **Event Driven Strategies:** These strategies position investment exposure in corporate catalyst-driven situations and often involve manager engagement to drive positive outcomes. Primary sub-strategies include Merger Arbitrage (Risk Arbitrage), Activism, Distressed Securities, Special Situations.
- **Relative Value Strategies:** These strategies manage market-neutral portfolios that exploit price differences of related securities. Leverage levels are typically higher. Primary sub-strategies include Convertible Bond Arbitrage, Fixed Income Arbitrage, Volatility Arbitrage, and Statistical Arbitrage.



Liquidity Characteristics Across Strategies

Less Liquid

- Distressed Securities
- Fixed Income strategies
- Special Situations

Moderately Liquid

- Global Macro
- Convertible Arbitrage
- Multi-Strategy
- Relative Value (varies by sub-strategy)

Most Liquid

- CTA
- Equity Long/Short
- Statistical Arbitrage
- Merger Arbitrage

Key Risks Across Strategies

Directional Strategies:
Market risk

Strategies

Event-Driven Strategies:
High dependency on deal selection, approach and corporate catalyst timelines.

Relative Value Strategies:
Shock risk and tail events.

Executive Summary

YEAR FOUNDED	HEADQUARTERS	NUMBER OF EMPLOYEES	ACTIVE CLIENT HF INVESTMENTS
2018	New York City	6	38

OUR TEAM

Aaron Sweeney

FOUNDER / CEO / HEAD OF ADVISORY

With 25 years of hedge fund experience, Aaron Sweeney is the Founder and Head of Advisory at Masterpiece Advisors, where he advises institutional clients. He previously held senior roles at Analytical Research and has worked at Bank Hapoalim, Investec, BNP Paribas, and Zurich Capital Markets. He holds a B.S. from Cornell University.

Maureen Hladky

DIRECTOR OF OPERATIONAL DUE DILIGENCE

With extensive experience in operational due diligence, Maureen Hladky is the Head of Operational Due Diligence, overseeing operational reviews of client-invested and approved managers. She previously led operational due diligence at Analytical Research and held investment due diligence roles at Pioneer Alternative Investments. She holds a B.S. in Management and Communications from Adelphi University

Alice Healy

INVESTMENT DUE DILIGENCE RESEARCH

With more than 30 years of investment due diligence experience and a Bachelor of Arts from the University of Virginia, Alice Healy oversees the firm's investment due diligence research pipeline. She has held senior research and due diligence roles at Oppenheimer, Momentum Asset Management, Pioneer Alternative Asset Management, and Mazuma Asset Management, and founded Quillman Partners in 2011.

KEY SERVICES

1. Hedge Fund Portfolio Advisory
2. Hedge Fund Research Solutions

RECOGNIZED EXCELLENCE

1) Masterpiece Award Nomination

Masterpiece was nominated in 2022 by Institutional Investor as the Hedge Fund Consultant of the Year.

2) Masterpiece Clients IPE Awards

Masterpiece clients received multiple IPE Awards in 2022 including:

- COUNTRY AWARD FOR SWITZERLAND
- EU AWARD FOR ALTS
- EU AWARD FOR CORPORATE PENSION

CONTACT US

We look forward to supporting your hedge fund investment objectives with our insights and advisory expertise.



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